Whitehaven Coal Limited

(WHC.AX)

Investment Thesis

Current Price: $7.75

Market Cap: $6.4B

Sector: Energy

Industry: Thermal Coal

Date: February 26, 2026

1. Business Description

Whitehaven Coal Limited develops and operates coal mines in Queensland and New South Wales. The company produces metallurgical and thermal coal. It operates mines, including open-cut and underground, located in the Gunnedah Coal Basin in New South Wales. The company sells coal in Japan, China, Korea, Taiwan, Malaysia, Vietnam, Indonesia, India, Europe, and internationally. Whitehaven Coal Limited was founded in 1999 and is based in Sydney, Australia.

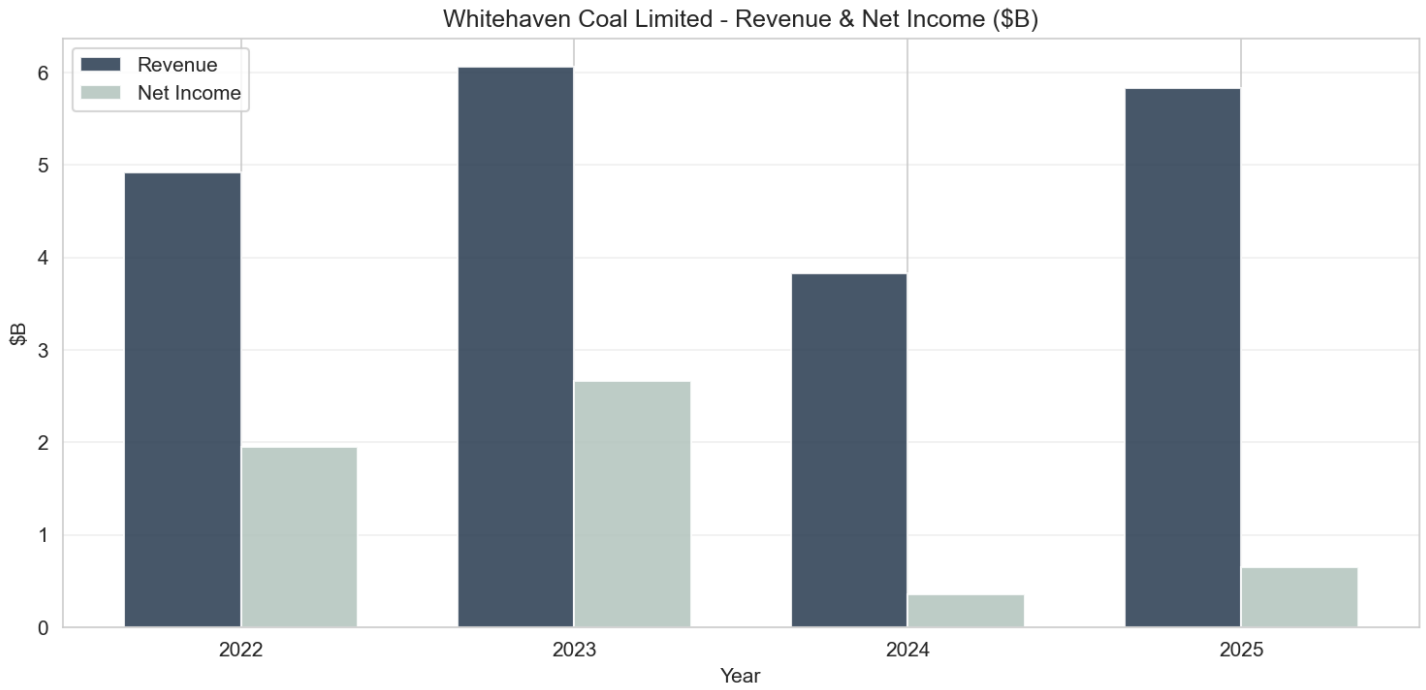
Key Metrics

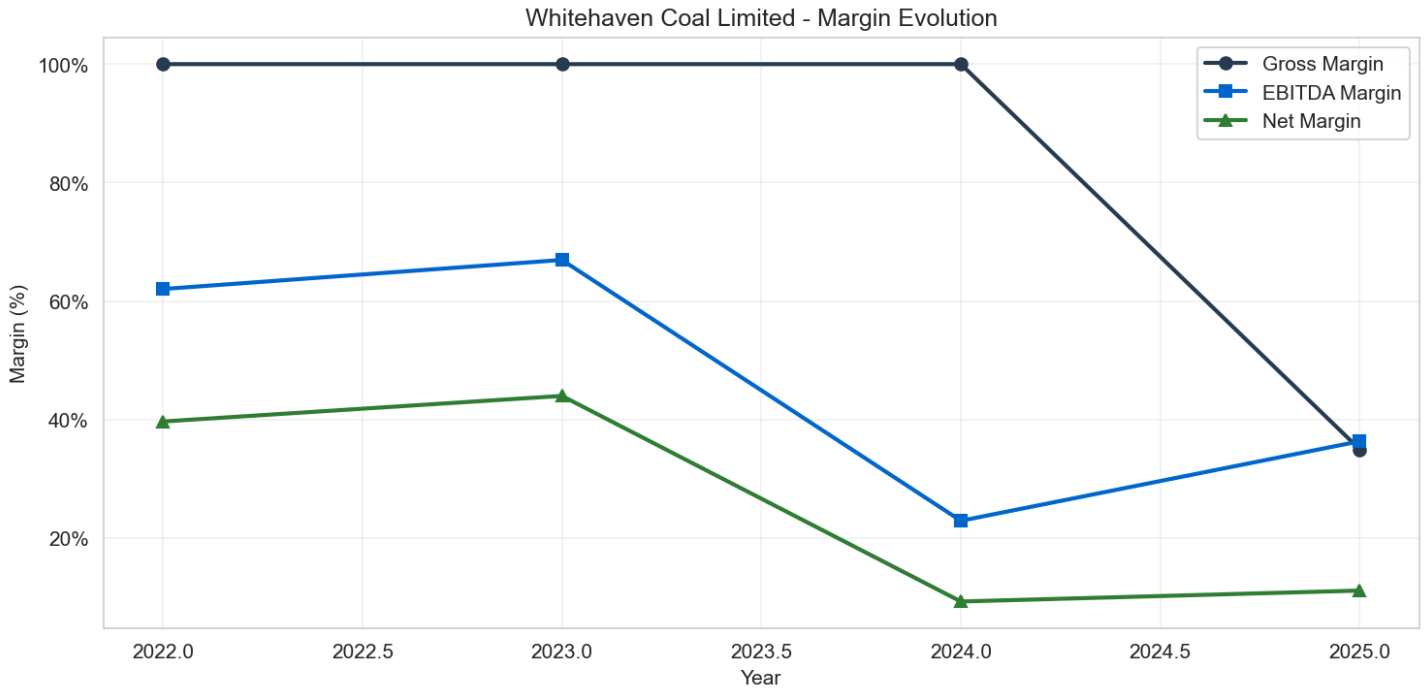
Market Cap	$6.4B	Enterprise Value	$7.0B
P/E Ratio (TTM)	9.8x	Forward P/E	14.6x
EV/EBITDA	3.0x	Revenue Growth	-27.7%
Gross Margin	17.6%	Operating Margin	1.5%
Net Margin	12.7%	Beta	-0.10
Dividend Yield	1.03%	52W High	$9.59
52W Low	$4.26		

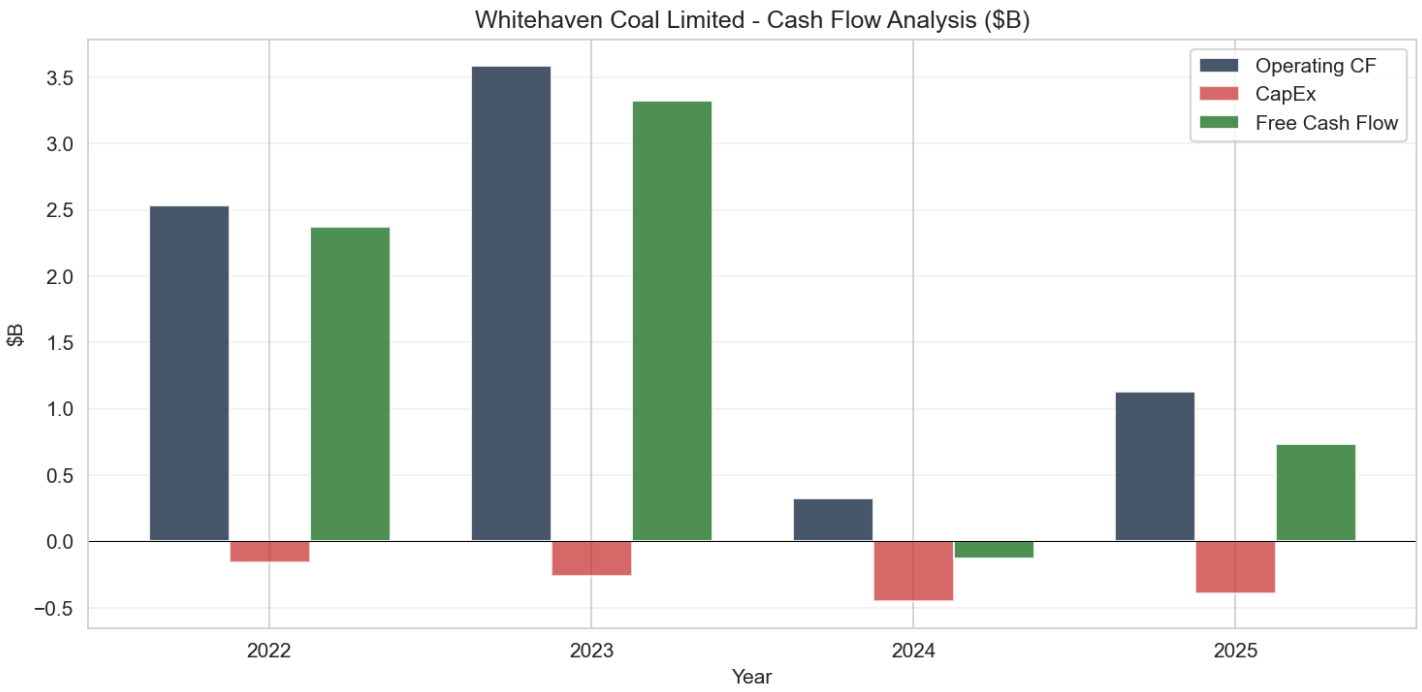
2. Financial Summary (Last 3 Years)

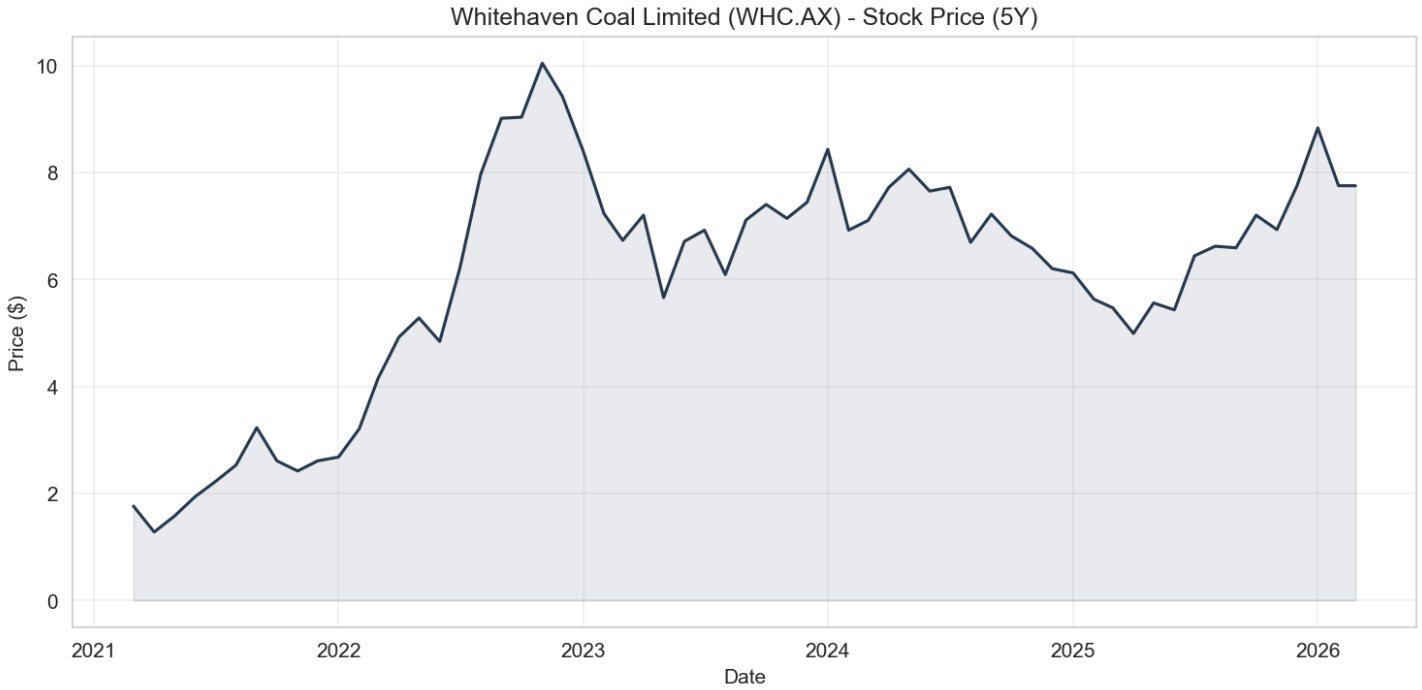
Metric ($M)	FY2023	FY2024	FY2025
Revenue	6,065	3,824	5,832
Gross Profit	6,065	3,824	2,039
Operating Income	4,168	1,376	1,406
Net Income	2,668	355	649
EBITDA	4,060	876	2,119
Free Cash Flow	3,326	-127	737
Total Assets	7,511	12,852	11,826
Total Debt	189	1,891	2,033
Total Equity	5,257	5,271	5,701

3. Financial Charts






Whitehaven Coal Limited - Cash Flow Analysis ($B)
Operating CF
CapEx
Free Cash Flow
$B
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−0.5
2022
2023
2024
2025
Year


Whitehaven Coal Limited (WHC.AX) - Stock Price (5Y)
Price ($)
10
8
6
4
2
0
2021
2022
2023
2024
2025
2026
Date

4. Positive Catalysts

- Strong free cash flow generation of $0.7B provides flexibility for buybacks, dividends, or M&A.
- Analyst consensus price target implies 9% upside from current levels.

5. Key Risks

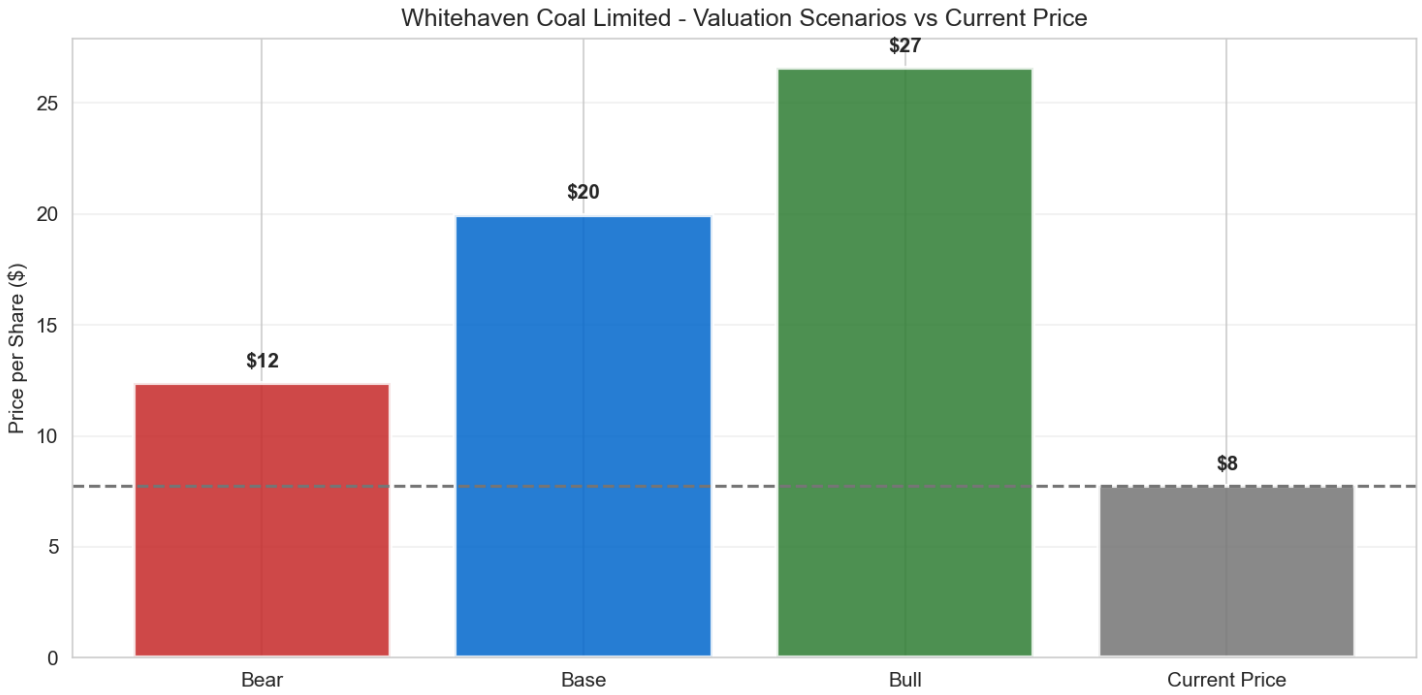
- Declining revenue (-27.7% growth) signals potential market share loss or industry headwinds.
- Macroeconomic risks including recession, inflation, and interest rate changes could impact performance.
- Competitive pressures in the Thermal Coal space may erode margins or market share.

6. Valuation Summary (DCF)

Current Price: $7.75

Scenario	Rev Growth Y1	WACC	TV Multiple	Gross Margin
Bear Case	-19.5%	7.0%	5x	81.7%
Base Case	-15.0%	5.0%	6x	83.7%
Bull Case	-10.5%	4.0%	8x	85.7%

Note: Detailed DCF calculations are available in the accompanying Excel model. The Excel model includes a sensitivity analysis table showing equity value per share across different WACC and Terminal Value Multiple assumptions.



7. Recent News

Whitehaven Coal Ltd (WHITF) (Q1 2026) Earnings Call Highlights: Strong Operational Performance ...

Yahoo

Is Whitehaven Coal Limited (ASX:WHC) Trading At A 34% Discount?

Yahoo

Discover Whitehaven Coal Limited (ASX:WHC) Within the ASX 200 Mining Landscape - Kalkine Media

| 2026-

Whitehaven Coal Limited's (ASX:WHC) top owners are retail investors with 59% stake, while 34% is held by institutions

Yahoo

Is Whitehaven Coal Limited's (ASX:WHC) Latest Stock Performance A Reflection Of Its Financial Health?

Yahoo

Whitehaven Coal's (ASX:WHC) 53% CAGR outpaced the company's earnings growth over the same five-year period

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We Think Whitehaven Coal (ASX:WHC) Is Taking Some Risk With Its Debt - simplywall.st

| 2025-

Whitehaven Coal (ASX:WHC) Will Pay A Smaller Dividend Than Last Year

Yahoo

Whitehaven Coal Full Year 2025 Earnings: EPS Beats Expectations

Yahoo

Whitehaven shares erase losses on better-than-expected profit, payouts

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